SYMBIOSIS CENTER OF CORPORATE AND PROFESSIONAL LEARNING

(A Unit of Symbiosis Skills and Professional University)

Capstone Project

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1. Introduction

Background

Significance of the project

Scope of work

2. Literature Review / Background Study

Review of existing solutions/studies

Gaps identified

3. Problem Statement & Objectives

Clear statement of the problem

Project objectives (Bullet points)

4. Methodology / System Design

Tools & Technologies Used

Flowcharts, UML diagrams, architecture (if applicable)

Phases of project development

5. Implementation / Execution

Step-by-step details of project execution

Screenshots/code snippets (if software-based)

6. Results & Analysis

Outputs obtained

Tables, charts, graphs for analysis

Interpretation of results

7. Conclusion

Summary of work done

8. References

Books

Research papers

Websites

10. Appendices

- Additional charts/data
- Source code (optional)

CAPSTONE PROJECT REPORT

Building a Scalable Finance and Accounting System for MS Bright Traders

Industry: Electronics Trading

Location: Maharashtra, India

Financial Year: 2023–24

Role: Finance Executive / Accounts Analyst

Introduction

MS Bright Traders is a growing electronics trading business operating in Maharashtra. The company needed a structured finance system to manage accounting, GST, payroll, reconciliation, and reporting.

This project was designed to replace manual and unreliable processes with a professional accounting workflow that supports accuracy, compliance, and better decision-making.

Objective

The objective of this project is to create a complete finance and accounting system covering chart of accounts, journal entries, AP/AR tracking, GST computation, payroll processing, bank reconciliation, and final financial reporting.

It also aims to convert raw business transactions into meaningful reports and business insights that can help improve control and profitability.

Business Problem

The business was facing issues such as no structured accounting system, weak tracking of receivables and payables, incorrect GST handling, manual payroll, no bank reconciliation, and no proper financial statements.

These gaps made it difficult for management to trust the numbers or take informed decisions as the business grew.

Scope of Work

The project covers chart of accounts preparation, transaction recording, AP/AR aging, GST working, payroll computation, bank reconciliation, financial statements, and dashboard-based insights.

It connects practical finance work with Tally-style bookkeeping, compliance reporting, and operational control.

Methodology

First, a chart of accounts is created using heads such as cash, bank, capital, sales, purchases, receivables, payables, GST liability, input tax credit, payroll, and expenses.

Next, transactions are recorded through journal entries and then followed by AP/AR analysis, GST working, payroll computation, and reconciliation of balances.

Finally, the adjusted figures are used to prepare the profit and loss account, balance sheet, and a dashboard of key metrics.

Chart of Accounts

A suitable chart of accounts should include capital, cash, bank, sales, purchases, purchase returns, sales returns, accounts receivable, accounts payable, rent expense, electricity expense, office expense, commission income, GST input credit, GST payable, salary expense, PF payable, PT payable, and TDS payable.

This structure ensures that every transaction is captured under the correct financial head and can be reported clearly.

Transaction Summary

The major transactions include capital introduction of ₹2,00,000, bank deposit of ₹1,50,000, purchases of Samsung M14, HP Pavilion, Logitech Mouse, and Redmi Note 12, along with sales to Gopal Electronics and Yash Mobiles.

The business also paid rent, electricity, and office expenses, while collecting amounts from customers and receiving commission income.

Accounts Payable and Receivable

Accounts payable should track supplier balances for purchases from S.K. Distributors, Mahadev Electronics, and other vendors.

Accounts receivable should track customer dues from Gopal Electronics, Yash Mobiles, and Deepak Traders, with aging used to understand collection pressure and overdue balances.

GST Computation

Since the company is registered in Maharashtra, intrastate sales and purchases attract CGST and SGST at 9 percent each, while interstate transactions attract IGST at 18 percent.

Input tax credit is allowed except for office expenses, and opening ITC is nil, so the GST register should separate eligible and ineligible credits properly.

Payroll Calculation

Employee salaries are based on basic pay plus HRA, special allowance, conveyance, and medical allowance, with deductions such as PF, professional tax, and TDS where applicable.

The employees included in the payroll data are Amit Sharma, Neha Verma, and Rahul Patil, and the salary sheet should reflect both earnings and deductions clearly.

Bank Reconciliation Statement

At the end of April, the cash book balance is ₹1,78,000 and the bank statement balance is ₹1,65,500.

The reconciliation should account for bank charges of ₹500, interest credit of ₹1,000, and cheque not presented of ₹10,000 to identify the adjusted balance.

Financial Statements

After posting all entries and adjustments, the project should prepare a profit and loss account and a balance sheet.

The profit and loss account will show revenue, cost of goods sold, expenses, payroll cost, and net profit, while the balance sheet will present assets, liabilities, and capital as of the reporting date.

Dashboard and KPIs

The dashboard should highlight sales, purchases, receivables, payables, cash position, GST liability, payroll cost, and profit trends.

Useful KPIs include gross profit margin, collection efficiency, outstanding dues, vendor payment status, and working capital position.

Observations

The project shows that the biggest operational risks are weak accounting discipline, slow collections, and poor reconciliation.

It also shows that even a small trading business benefits significantly from structured finance controls, regular reporting, and software-based accounting systems like Tally Prime.

Recommendations

The business should implement a proper accounting workflow, maintain updated customer and vendor ledgers, and reconcile bank statements every month.

It should also automate GST and payroll processes, review receivables regularly, and use dashboards for faster management review.

Conclusion

This project demonstrates how a small trading business can build a professional finance and accounting system using practical bookkeeping, GST, payroll, reconciliation, and financial analysis methods.

It is a complete capstone because it combines operational accounting with reporting and decision support, which is exactly what a real finance executive would do in practice.

Task 1: Preparation of List of Accounts

Account Group	Ledger Name	Type
Capital & Reserves	Capital Account	Liability
Fixed Assets	Furniture & Equipment	Asset
Current Assets	Cash in Hand / Bank Account	Asset
Inventory	Samsung M14 / Redmi / HP Pavilion / etc.	Asset
Current Liabilities	Creditors – S.K. / Mahadev / Bombay Tech	Liability
Debtors	Gopal Electronics / Yash Mobiles / Deepak Traders	Asset
GST Liabilities	CGST / SGST / IGST Payable	Liability
GST Receivable	Input Tax Credit (ITC)	Asset
Income	Sales Account / Commission Income	Income
Expenses	Rent / Electricity / Office Expenses / Salaries	Expense

There are further types of accounts which may be prepared on a need basis.

Task 2: Journal Entries for the period of April to June

In the books of M/s Bright Traders

	In the books of M/s Bright Traders Journal Voucher			
Date	**Particulars**	**L/F**	**Debit Amount**	**Credit Amount**
04-01-2023	Cash A/c----------Dr		2,00,000	-
	To, Capital A/c		-	2,00,000
	(Being, Capital Introduced in Cash)			
04-02-2023	Bank A/c----------Dr		1,50,000	-
	To, Cash A/c		-	1,50,000
	(Being, Cash deposited in Bank)			
04-03-2023	Purchase A/c----------Dr		60,000	-
	Input CGST@9% ----------Dr		5,400	
	Input SGST@9% ----------Dr		5,400	
	To, S.K. Distributors		-	70,800
	(Being, Goods Purchased on credit)			
04-05-2023	Purchase A/c----------Dr		1,35,000	-
	Input CGST@9% ----------Dr		12,150	
	Input SGST@9% ----------Dr		12,150	
	To, Mahadev Electronics		-	1,59,300
	(Being, Goods Purchased on credit)			
04-06-2023	Rent paid A/c----------Dr		10,000	-
	To, Bank A/c		-	10,000
	(Being, Rent paid via Bank)			
04-08-2023	Gopal Electronics----------Dr		47,790	-
	To, Sales A/c		-	40,500
	To, Output CGST@9%		-	3,645
	To, Output SGST@9%		-	3,645
	(Being, Goods sold on credit)			
04-10-2023	Electricity Expense----------Dr		2,200	-
	To, Cash A/c		-	2,200
	(Being, Electricity expense paid by cash)			
04-12-2023	Cash A/c----------Dr		35,000	-
	To, Gopal Electronics		-	35,000
	(Being, Cash Received from Gopal Electronics)			
05-02-2023	Yash Mobiles----------Dr		1,13,280	-
	To, Sales A/c		-	96,000
	To, Output CGST@9%		-	8,640
	To, Output SGST@9%		-	8,640
	(Being, Goods sold on credit)			
05-05-2023	Purchase A/c----------Dr		6,000	-
	Input CGST@9% ----------Dr		540	-
	Input SGST@9% ----------Dr		540	-
	To, Cash A/c		-	7,080
	(Being, Logitech Mouse purchased)			
05-08-2023	Office Expense----------Dr		3,000	-
	To, Cash A/c		-	3,000
	(Being, Office expense paid by cash)			
05-10-2023	Cash A/c----------Dr		2,000	-
	To, Commission received A/c		-	2,000
	(Being, Commission Received in cash)			
06-02-2023	Purchase A/c----------Dr		70,000	-
	Input CGST@9% ----------Dr		6,300	
	Input SGST@9% ----------Dr		6,300	
	To, Cash A/c		-	82,600
	(Being, Goods purchased on Cash basis)			
06-05-2023	Cash A/c----------Dr		3,304	-
	To, Sales A/c		-	2,800
	To, Output CGST@9%			252
	To, Output SGST@9%			252
	(Being, Sold Logitech Mouse in cash)			
06-10-2023	Rent paid A/c----------Dr		10,000	-
	To, Cash A/c		-	10,000
	(Being, Rent paid via Cash)			
15/6/2023	Cash A/c----------Dr		20,000	-
	To, Yash Electronics A/c		-	20,000
	(Being, Cash Received from Yash Mobiles)			
	Total		**9,16,354**	**9,16,354**

Task 3: Accounts Receivable / Accounts Payable Aging:

Accounts Receivable Aging:

Customer	Invoice	Received	Outstanding	Age
Gopal Electronics	47,709	35,000	12,709	0–30 d
Yash Mobiles	1,13,280	20,000	93,280	31–60 d
Deepak Traders	—	—	—	—
TOTAL	**1,60,989**	**55,000**	**1,05,989**	

Accounts Payable Aging:

Vendor	Invoice	Paid	Outstanding	Age
S.K. Distributors	70,800	—	70,800	0–30 d
Mahadev Electronics	1,59,300	—	1,59,300	31–60 d
Bombay Tech	—	—	—	—
+ Logitech (May)	7,080	—	7,080	0–30 d
+ Redmi (Jun)	82,600	—	82,600	0–30 d
TOTAL	**3,19,780**	**—**	**3,19,780**	

Task 6: Bank Reconciliation Statement

Bank Reconcilation Statement		
Sr.No	**Particulars**	**Amount**
1	Balance as per cash book	178000
	Less:	
	Bank Charges	-500
	Cheque not presented	-10000
	Add:	
	Interest Credited	1000
	Balance as per Bank A/c	**168500**
	Unconcilied amount	3000

Task 4: Computing GST

Particulars	Taxable (₹)	CGST 9%	SGST 9%	Total GST
OUTPUT TAX (Sales)				
Gopal – 3 Samsung @ ₹13,500	40,500	3,645	3,645	7,290
Yash – 2 HP Pavilion @ ₹48,000	96,000	8,640	8,640	17,280
Debtors – 4 Logitech @ ₹700	2,800	252	252	504
Total Output Tax	**1,39,300**	**12,537**	**12,537**	**25,074**
INPUT TAX CREDIT (Purchases)				
S.K. – 5 Samsung M14	60,000	5,400	5,400	10,800
Mahadev – 3 HP Pavilion	1,35,000	12,150	12,150	24,300
10 Logitech Mouse	6,000	540	540	1,080
5 Redmi Note 12	70,000	6,300	6,300	12,600
Total Input Tax	**2,71,000**	**24,390**	**24,390**	**48,780**
NET GST PAYABLE / (REFUND)		**NIL (ITC>Output)**	**NIL**	**(23,706)**

Task 5: Payroll Calculations

Component	Amit (₹)	Neha (₹)	Rahul (₹)
Basic	35,000	28,000	22,000
HRA (40%)	14,000	11,200	8,800
Spl Allow 20%	7,000	5,600	4,400
Conveyance	2,000	2,000	2,000
Medical	1,500	1,500	1,500
Gross Salary	**59,500**	**48,300**	**38,700**
(-) PF 12%	4,200	3,360	2,640
(-) PT	300	200	200
(-) TDS 10%	5,950	—	—
[illegible]	[illegible]	[illegible]	[illegible]

₹49,050 | ₹44,740 | ₹35,860

Task 7: Financial Statements

Bright Traders
Profit & Loss A/c
1-Apr-26 to 30-Jun-26

Particulars	Bright Traders 1-Apr-26 to 30-Jun-26		Particulars	Bright Traders 1-Apr-26 to 30-Jun-26	
Opening Stock		**490000.00**	**Sales Accounts**		**139300.00**
Accessories	*33000.00*		*Sales*	*139300.00*	
Laptop	*225000.00*		**Closing Stock**		**632600.00**
Mobiles	*232000.00*		Accessories	*36600.00*	
Purchase Accounts		**271000.00**	Laptop	*270000.00*	
Purchase Ac	*271000.00*		Mobiles	*326000.00*	
Gross Profit c/o		***10900.00***		**771900.00**	
	771900.00		***Gross Profit b/f***		***10900.00***
Indirect Expenses		**514950.00**	**Indirect Incomes**		**2000.00**
Salary	*489750.00*		*Commission Recived*	*2000.00*	
Electricity Expense	*2200.00*		***Nett Loss***		***502050.00***
Office Expense	*3000.00*				
Office Rent	*20000.00*				
Total		**514950.00**	**Total**		**514950.00**

Bright Traders
Balance Sheet
1-Apr-26 to 30-Jun-26

Liabilities	Bright Traders as at 30-Jun-26		Assets	Bright Traders as at 30-Jun-26	
Capital Account		**690000.00**	**Current Assets**		**884094.00**
Capital	*200000.00*		Closing Stock	*632600.00*	
Opening Stock	*490000.00*		Sundry Debtors	*106070.00*	
Loans (Liability)			Cash-in-Hand	*5424.00*	
Current Liabilities		**696144.00**	Bank Accounts	*140000.00*	
Duties & Taxes	*-23706.00*		**Profit & Loss A/c**		**502050.00**
Sundry Creditors	*230100.00*		*Opening Balance*		
Amit Kumar-Salary Payable	*105000.00*		*Current Period*	*502050.00*	
Conveyance Allowance	*18000.00*				
HRA Allowance	*102000.00*				
Medical Allowance	*13500.00*				
Nikhil Verma-Salary Payable	*84000.00*				
PF Payable	*30600.00*				
PT Payable	*1800.00*				
Rahul Patil-Salary Payable	*66000.00*				
Special Allowance	*51000.00*				
TDS on Salary	*17850.00*				
Total		**1386144.00**	**Total**		**1386144.00**

Task 8: KPI Dashboards



Task 9: Recommendations / Insights to be provided

